IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH (COURT-II)

IN

COMPANY APPLICATION NO. – C.A.(CAA)-06/ND/2024

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

BIRD CONSULTANCY SERVICES PRIVATE LIMITED

...Applicant/Transferor Company

AND

BIRD WORLDWIDE FLIGHT SERVICES (INDIA) PRIVATE LIMITED

...Applicant/Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order delivered on 22.03.2024

Under Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. SUBRATA KUMAR DASH, HON'BLE MEMBER (T)

PRESENT:

For the Applicant : Adv. Hinak, Adv. Varun Yadav, Adv. Atul Pandey

ORDER

The present petition has been preferred jointly by **Bird Consultancy Services Private Limited** (hereinafter referred to as "Applicant/Transferor Company") and **Bird Worldwide Flight Services (India) Private Limited** (hereinafter referred to as "Applicant/Transferee Company") seeking the following reliefs: -

"(a) that the convening, holding and conducting of a meeting of the equity and preference shareholders / secured creditors / unsecured creditors of the Transferor Company / Transferee Company to consider the said Scheme may be dispensed with as the Applicant Company No 1 / Applicant Company No 2 has duly obtained consent affidavits for the Scheme from 100% of the aggregate value of the equity and preference shareholders / not applicable of the aggregate value of the secured creditors / 100% of the aggregate value of the unsecured creditors of the Transferor Company and 94.53% of the aggregate value of the equity and preference shareholders / 100% of the aggregate value of the secured creditors / 91.94% of the aggregate value of the unsecured creditors of the Transferee Company having given their written approval (which is in excess of more than 90 per cent i.e. the thresholds provided for in the Companies Act);

(b) that the Applicant Companies be directed to issue notices to the (i) Regional Director, Ministry of Corporate Affairs, Northern Region, Delhi, (ii) Registrar of Companies, Delhi, (iii) Official Liquidator, Delhi and (iv) Income Tax department, as per the provisions of Section 230(5) of the Companies Act 2013 and rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016; and

(c) a date be fixed for presentation of the Company Petition; and

(d) pass such further or other order or orders be made or other directions be given affording necessary relief to the Applicant Companies as in the premises the Hon'ble Tribunal may deem fit and proper."

2. **BIRD CONSULTANCY SERVICES PRIVATE LIMITED** having CIN U74140DL2004PTC131682, is a private limited company, incorporated on 30.12.2004 under the Companies Act, 1956. The Registered Office of the Applicant/Transferor Company No. 1 is situated at E-9 CONNAUGHT HOUSE, CONNAUGHT PLACE, NEW DELHI-1, NA, Delhi, India, 110001. The Authorized Share Capital of the Company is Rs. 5,00,00,000/- and its Paid-up Share Capital is Rs. 99,75,000/-.

3. **BIRD WORLDWIDE FLIGHT SERVICES (INDIA) PRIVATE LIMITED** having CIN U62200DL2008PTC184155, is a private limited company, incorporated on 10.10.2008 under the Companies Act, 1956. The Registered office of Applicant/Transferor Company No. 3 is situated at E-9, CONNAUGHT HOUSE CONNAUGHT PLACE, NEW DELHI, Delhi, India, 110001. The Authorized Share Capital of the Company is Rs. 6,00,00,000/- and its Paid-up Share Capital is Rs. 86,90,000/-.

4. The present Application has been preferred by the 'Transferor Company' and 'Transferee Company' (hereinafter referred to as the **'Applicant Companies')**. The Registered offices of both the Applicants Companies being in Delhi, they are amenable to the territorial jurisdiction of this Bench.

5. As far as the present application is concerned, it is seen from the record that the Board of Directors of all the Applicant Companies vide their meetings held on 02.06.2023 have approved the proposed 'Scheme of Amalgamation and Arrangement'. Copies of Resolution of the Board of Directors of Applicant Companies are found on record at Annexure H.

6. The Appointed Date of the Scheme is 01.04.2023 as defined in Part - I, Clause 1.1 of the Scheme of Amalgamation and Arrangement.

7. The rationale of the proposed amalgamation Scheme, as espoused by the Applicants read thus:

a) *"Creation of a structure which shall provide better flexibility in accessing capital by attracting specific investors for pursuing strategic growth opportunity thereby enhancing stakeholder's value;*

b) *Greater management focus and expedite the decision-making process and specialization thus, leading to the objective of achieving sustained growth;*

c) *Simplification of the overall structure by way of cancellation of cross holdings and reduction in the number of entities;*

d) *Creating better synergies by optimal utilization of resources and greater economies of scale thereby; and*

e) *Reduction in the multiplicity of legal, regulatory and administrative compliances and associated costs."*

8. The Applicant Companies have furnished the following documents: - Proposed Scheme of Amalgamation (Annexure A of the application).

i. Certificate of Incorporation along with Memorandum and Articles of Association of Transferor Company and Transferee Company (Annexures B and E respectively of the application).

ii. List of Equity Shareholders of Transferor Company as on 16.08.2023, along with Consent Affidavits (Annexure I, N of the application).

iii. List of Equity Shareholders of Transferee Company as on 16.08.2023, along with Consent Affidavits (Annexure I, N of the application).

iv. List of 'NIL' Secured Creditors and Unsecured Creditor for the Transferor Company (Annexures O of the application)

v. List of Secured Creditors for the Transferee Company with their Consent Affidavits (Annexure P, Q)

vi. List of Unsecured Creditors of Transferee Company duly certified by the Chartered Accountant with their Consent Affidavits (Annexure R, S).

vii. Certificates of Statutory Auditors to the effect that Accounting treatment proposed in the Scheme conforms with Section 133 of the Companies Act, 2013 are attached as Annexure K of the application.

viii. Proposed Share Entitlement Ratio, provided under the Report on Valuation of Shares & Share Exchange Ratio of Mr. Sanjeet Kumar Sharma (ACA), Registered Valuer, attached as Annexure J of the application.

ix. Audited financial statements for Financial Year 2022-23 and Unaudited Financial Statement for the Transferor and Transferee Company have been annexed and marked as Annexure C, D, F and G.

9. It is further submitted by the counsel for applicant companies that as per the Valuation Report dated 02.06.2023 submitted by Mr. Sanjeet Kumar Sharma, Registered Valuer, IBBI Registration No. IBBI/RV/02/2020/13091 attached as Annexure J of the Application, that the Share Exchange and Entitlement Ratio is as given below: -

- *27 (Twenty-Seven) equity shares of face value of Rs. 10 each of* BWFSI or Transferee Company *to be issued against 599 (Five Hundred Ninety-Nine) equity shares of face value of Rs. 10 each to the existing shareholders of BCS or Transferor Company on fully diluted basis;*

Above Share Swap Ratio calculated post considering CCPS on fully diluted basis, Therefore in our working we have considered CCPS as Equity shares on fully diluted basis considering such CCPS will be converted to Equity as per their defined conversion ratio and Transferor company will be issued Equity shares in the same Ratio of Transferee company as it will be issued to other equity shareholders of Transferor company.

Particulars	Swap Ratio for Voting Members Post Conversion of Non Voting to Voting Shares of BWFSI	
	BWFSI	BCS
Per Share Value (in Rs.)	**107,484.90**	4,844.87
Swap Ratio	22.19	1.00
Multiplier	27.00	27.00
Adjusted Swap Ratio	**599.00**	**27.00**
Adjusted Swap Ratio (Rounded Off)	**599.00**	**27.00**



10. It is contended by the learned counsel that the Scheme (Annexure A) also takes care of the interests of the staff/workers and employees of the Transferor Companies. By Clause 6 of the Scheme, it is stated that upon the Scheme coming into effect, all staff and employees of the Transferor Company, on such date shall be deemed to have become staff and employees of the Transferee Company based on continuity of service without any break or interruption in service and terms and conditions of their employment with the Transferee Company shall not be less favourable than those applicable to them with reference to the Transferor Company.

11. The Applicants have made a categorical averment in Application that as on the date of this Application, there is no investigation or proceeding pending against the Transferor and Transferee Company under the Companies Act, 2013 or under the Companies Act, 1956. The Applicant is directed to file an Affidavit regarding pendency, if any, of litigation under any other act apart from Companies Act with his Second Motion Application.

12. The status of Equity Shareholders, Secured and Unsecured Creditors as also their Consent through Affidavits qua all the Companies as espoused in the Application filed by the Applicants can be summarised as below:

Company	No. of Equity Shareholders	Consent Given in number and %age	No. of Preference Shareholders	Consent Given in number and %age	No of Secured Creditors	Consent Given in number and %age	No of Unsecured Creditor	Consent Given in number and %age
Transferor Company / Applicant Company No 1	Nine (9)	5 (five) shareholders holding 94.53 % in value	One (1)	One hundred percent (100%)	Nil	not applicable	Nil	not applicable
Transferee Company / Applicant Company No 2	Two (2)	One hundred percent (100%)	One (1)	One hundred percent (100%)	Three (3)	One hundred percent (100%)	32	31 (thirty one) unsecured creditors holding 91.94% in value

13. All the shareholders of the Applicant Companies have given 'No Objection' to the Scheme on their respective affidavit. Therefore, the requirement of convening the Meetings of Shareholders in respect of the Applicant Companies is dispensed with.

14. Since more than 90% in value of the Unsecured Creditors of the Applicant Companies have given 'No Objection' to the Scheme therefore, their meeting is dispensed with.

15. There are no secured creditors in the Transferor Company, therefore, the need to convene their meeting does not arise.

16. Furthermore, more than 90% in value of the secured creditors of the Transferee Company have given their consent on respective affidavits, therefore, their meetings are also dispensed with.

17. So far as the prayer for serving a notice to the various authorities as espoused in Prayer (4), Section – 230(5) read with Section – 230(3) of Companies Act, 2013 provides for issuance of notice in case a meeting is convened. However, all the meetings are dispensed in terms of Section – 230(9) of Companies Act, 2013. Hence, there is no requirement of issuing notice to the sectoral regulators at this stage.

18. The Application is allowed in the aforesaid terms.

Sd/-	Sd/-
(SUBRATA KUMAR DASH)	**(ASHOK KUMAR BHARDWAJ)**
MEMBER (T)	**MEMBER (J)**